

Earning more is the other piece of the equation that allows you to increase your savings rate. While there is a floor on spending, there is no ceiling on how much you can earn.

How Do You Actually Earn More?

Many people get caught up in the limiting belief that it's hard, even impossible, to earn more. Don't you have to study for years to earn a degree to get a high-paying job? Don't you have to go into debt with school loans, small business loans, or mortgages to build a rental real estate portfolio? It is possible to use these strategies to increase your earning power, but they're not necessary. These thoughts start with a lack of understanding of how and why people make money.

Going to school and getting a degree is not a formula for making a lot of money. A college degree allows some people to earn more because they have acquired skills that others value enough to pay for, such as engineers, those with tech skills, health care workers, and accountants. People in these professions are not highly paid because they have a piece of paper from a particular school. They are highly paid because they've acquired rare and specialized